MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (HONOURS)

THIRD SEMESTER EXAMINATION- MODEL QUESTION PAPER

(2024 ADMISION ONWARDS)

MG3DSECOM201 – Fundamentals of Co-operation

Duration: 1 Hour 15 minutes Maximum Marks: 70

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Part A
Attempt any twenty questions.
Each question carries 1 mark.

1. Which of the following is not a type of co-operative society?
   Understand (CO-3)
   (a) Consumer Co-operative
   (b) Employer Co-operative
   (c) **Producer Co-operative**
   (d) Housing Co-operative

2. What is the primary objective of a co-operative society?
   Understand (CO-1)
   (a) Maximizing Profit
   (b) Providing services to its member
   (c) Creating monopoly in the market
   (d) Eliminating job opportunities

3. Coir co-operatives are mainly concentrated in which Indian state?
   Understand (CO=3)
   (a) Kerala
   (b) Tamil nadu
   (c) Bhopal
   (d) Karnataka

4. The Literal meaning of the word “Co operation” is
   Understand (CO-1)
   (a) Competition among people
   (b) Working together for common purpose
   (c) Profit Maximisation
   (d) Business without rules

5. The guiding principle of the co-operative movement is described as "Each for all and all for each." What does this principle aim to foster among members?
   Analyse (CO-1)
   (a) Competition and financial independence
   (b) Collaboration and mutual growth
   (c) focus on individual wealth accumulation
   (d) A hierarchical power structure

6. Identify the incorrect statement. Analyse (C0-2)

a) Co-operative values establish a moral guideline for operations.
b) Co-operative values guide leadership and the strategic direction of the co-operative.
c) Co-operative values foster inclusivity and strengthen community ties.
d) Co-operative values encourage unsustainable economic development.

7. A long-term goal of UCBs includes:
Analyse (C0-3)

(a) Privatizing all banks
(b) Promoting foreign exchange
(c) Reducing urban poverty through financial services
(d)Setting up factories

7. The co-operative movement in USA is connected with Understand (CO-4)

(a) Industrial growth
(b) Agricultural growth
(c) Banking growth
(d) Educational growth

8. Adopting co-operation which helps to improve:- Understand (CO-1)

(a) Only the profits of individual members
(b) Both the individual and society as a whole
(c) Only the governments economy
(d) Only industrialists and traders

9. How does ECS promote financial inclusion? Understand (CO-3)

(a) By providing access to financial services or low-income employees
(b) By offering high-interest loans
(c) By investing in the stock market
(d) By providing financial assistance to business only

10. Multi purpose agricultural co operatives collectively known as _____? Understand (CO-4)

(a) Nokyo
(b) KOH
(c) UNICOOP
(d) A-Coop

11. Processing co-operatives encourage :- Understand (CO-3)

(a) Urban entrepreneurs
(b) Rural entrepreneurs
(c) Foregin entrepreneurs
(d) Industrialists

12. . MATSYAFED is mainly related to :- Understand (CO-3)

(a) Rubber Marketing
(b) Fisheries development
(c)Coir industry
(d) Dairy Processing

13. Who owns a co-operative society? Understand (co-1)

(a) The government
(b) Private promoters
(c) Middlemen
(d) Members collectively

14. The essence of Co-operation is: Understand (CO-1)

(a) Individual gain
(b) Mutual help and collective welfare
(c) Government support only
(d) Competitive spirit

15. Which of the following is an apex body for handicraft co-operatives in Kerala? Understand (CO-3)

(a) HANTEX
(b) Handloom
(c) Milma
(d) Surabhi

16. The slogan of the Rochdale Pioneers' consumer co-operative movement was:Analyse (CO-4)

(a) "Each for all and all for each"
(b) "Fair price, fair trade"
(c) "Self-help through mutual help"
(d) "Labour is wealth"

17. Which of the following is NOT an economic aspect of co-operation? Understand (CO-1)

(a) Elimination of middlemen
(b) Promotion of economic democracy
(c) Maximizing private monopoly
(d) Better marketing facilities

18. How do co-operatives control monopolies? Understand (CO-1)

(a) By increasing middlemen's power
(b) By promoting speculation
(c) By protecting consumers with fair pricing
(d) By concentrating wealth

19. District Level Housing Federations mainly: Understand (CO-3)

(a) Build large-scale constructions
(b) Coordinate and supervise primary housing societies
(c) Provide agricultural subsidies
(d) Formulate national housing policy

20. Converting raw milk into ghee and cheese is an example of: Understand (CO-3)

(a) Market access
(b) Food Security
(c) Value Addition
(d) Rural entrepreneurship

21. The headquarters of HOUSFED is located at: Understand (CO-3)

(a) Thiruvananthapuram
(b) Kozhikode
(c) Allapuzha
(d) Ernakulam

22. What is the social importance of co-operation in society? Understand (CO-1)

(a) Promotes unity, equality, and collective welfare
(b) Creates monopoly
(c) Increases inequality
(d) Exploits consumers

(1 x 20 =20)

Part B
Attempt any twenty five questions.
Each question carries 2 mark.

23. The Farmer's Co-operative Marketing Association was established to: Understand (CO-4)

(a) import farm machinery
(b) Provide a platform for farmers on pricing and distribution
(c) Voluntary association
(d) Provide insurance to farmers

24. Co-operation goes beyond simple teamwork because it requires: Analyse (CO-1)

(a) Large capital investment
(b) A strong commitment to shared values, ethics, and faith in collective strength
(c) Government subsidies
(d) Competition with private companies

25. Which of the following is NOT a function of processing co-operatives? Understand (CO-3)

(a) Providing storage facilities
(b) Value addition of products
(c) Exploring farmers through middlemen
(d) Enhancing market access

27. Identify the incorrect statement. Analyse (CO-2)

(a) Co-operative values establish moral guideline for operation
(b) Co-operative values guide leadership and the strategic direction of the co-operative.
(c) Co-operative values foster inclusivity and strengthen community ties.
(d) Co-operative values encourage unsustainable economic development.

(a) **(d) only**
(b) (a), (b), (c) and (d)
(c) (a), (b) and (c)
(d) (a) and (d)

28. Which statement about Co-operative Values is **incorrect**? Analyse (CO-2)

a) They are fundamental beliefs that guide co-operative actions.
b) They are deeply in-built in the co-operative movement.
c) They support the philosophy and practice of co-operative organizations.
d) Their scope is limited to a co-operative's internal governance.

(a) (a), (b) and (c)
(b) (a), (b), (c) and (d)
(c) (d) only
(d) (a) and (d)

29. Which of the following is not typically a function of a consumer co-operative? Understand (CO-3)

(a)Buying in bulk
(b) **Selling to non-members at high prices**
(c) Selling to members at reasonable prices
(d) Eliminating middlemen

30. Which of the following is a limitation of PACS? Understand (CO-3)

(a)Wide urban coverage
(b)**Inadequate professional staff**
(c) High operational efficiency
(d) Overdependence on foreign loans

31. Which of the following is not an objective of Urban Co-operative Banks? Understand (CO-3)

(a) Providing affordable credit
(b) Encouraging savings
(c) Supporting community development
(d) **Facilitating tax evasion**

32. One of the social functions of Urban Co-operative Societies is: Understand (CO-3)

(a) **Encouraging community-based support systems**
(b) Promoting pvt money lending
(c) Privatizing public services
(d) Reducing community participation

33. How do Employees' Credit Societies support financial stability among employees? Understand Understand (CO-3)

(a) By promoting speculation
(b) By encouraging reckless spending
(c) **By offering systematic savings and loans**
(d) By avoiding transparency

34. Consider the following statements and choose the most appropriate alternative.
Statement I – Membership in an Employees' Credit Society is usually restricted to employees of a particular organization or sector.

Statement II – Employees' Credit Societies cannot accept savings or deposits from their members.
Understand (CO-3)

(a) Both statements are true
(b) Statement I is true and Statement II is false
(c) Statement I is false and Statement II is true
(d) Both statements are false

35. Which of the following is a function of an Employee Credit Society?

Understand (CO-3)

(a) Offering credit cards to the public
(b) Providing large corporate loans
(c) **Granting small loans to its members**
(d) Investing in foreign real estate

36. Which statement about the relationship between principles and values is **incorrect**?
Understand (CO-2)

a) Principles are operational tenets.
b) Values are ethical ideologies.
c) "Concern for Community" is one of the 7 core principles.
d) "Cooperation Among Cooperatives" is one of the core values.

(a) (a), (b) and (c)
(b) (a), (b), (c) and (d)
(c) (d) only
(d) (a) and (d)

37. Which of the following is an **incorrect** statement?
Understand (CO-2)

a) The principles serve as a universal framework for co-operatives globally.
b) The ICA's vision aims to address contemporary social and economic challenges.
c) Co-operative values are the guiding stars for all co-operative endeavors.
d) Co-operatives should only focus on enhancing their operational effectiveness.

(a) (d) only
(b) (a), (b), (c) and (d)
(c) (a), (b) and (c)
(d) (a) and (d)

38. Statement I: The nature of Co-operative Values is practical methodologies.
Statement II: The nature of Co-operative Principles is abstract concepts.

Understand (CO-2)

(a) Both Statement I and Statement II are true.
(b) **Statement I is true, but Statement II is false.**
(c) Statement I is false, but Statement II is true.
(d) Both Statement I and Statement II are false.

39. Identify the **Incorrect** Statement Understand (CO-2)

a) The committee was established to review and update co-operative principles.
b) It was a committee of the International Co-operative Alliance.
c) It was responsible for drafting the core principles of co-operation for the United Nations.
d) Its report was a significant document in the history of the co-operative movement.

(a) (a) only
(b) (c) only
(c) (a) and (d)
(d) (a), (b) and (c)

40. HOUSFED provides: -

1.Financial assistance
2. Technical guidance
3.International housing policy
4..Supervision of construction

Understand (CO-2)

(a) 1, 2, and 4 only
(b) 3, and 4 only
(c) 1 and 3 only
(d) 1, 2,3, and 4

41. The co-operative movement in the USA aimed to:
Understand (CO-4)

(a) Secure better prices for farmers
(b) Replace government subsidies
(c) Create monopolies
(d) Encourage middlemen

42. Which of the following statement about Co-operation are true Understand (CO-1)

1. It aims at collective benefit
2. Purely profit- oriented
3.Based on equality of members
4. A voluntary association of person

(a) 1, 2 and 3 only
(b) 1,3.and 4 only
(c) 2, 3 and 4 only
(d) All of other options

43. What is the democratic organisation feature of co-operative society
Understand (CO-1)

(a) Overlook member's opinion
(b) Social status for members
(c) Exclude members from decision making
(d) **Democratic management by elected members**

44. Which of the following shows the importance of co-operation in agriculture?
Understand (CO-1)

(a) Exploits farmers
(b) Provides farmers with credit, inputs, and fair markets
(c) Increases dependence on middlemen
(d) Reduces productivity

45. Which feature of co-operation enables members to obtain loans without collateral ?
Understand (CO-1)

(a) Equality
(b) Mutual help
(c) Voluntary association
(d) Association of persons

46. **Assertion (A):** The Swedish co-operative movement was based on the principle of "maximizing profits for investors."Reason (R): It followed the Rochdale Principles such as open membership and democratic control.

Understand (CO-1)

(a) Both A and R are true, and R is the correct explanation of A
(b) Both A and R are true, but R is not the correct explanation of A
(c) A is true, but R is false
(d) A is false, but R is true

47. **Assertion (A):** The main objective of co-operation is to serve the members, not to maximize profit Reason (R): The motto of co-operation is "Service before profit."
Understand (CO-1)

(a) Both A and R are true, and R is the correct explanation of A
(b) Both A and R are true, but R is not the correct explanation of A
(c) A is true, but R is false
(d) A is false, but R is true

48. How do UCBs help promote entrepreneurship?
Understand (CO-3)

(a) By providing microloans to small businesses
(b) By managing venture capital
(c) By giving large equity investments
(d) By offering high-interest loans

49. Which of the following is an indirect objective of PACS?
Understand (CO-3)

(a) Strengthening rural economy
(b) Urban employment creation
(c) Reducing internet usage
(d) Boosting foreign tourism

(2x25=50 Marks)